

Amazon.com, Inc.
AMZN NASDAQ

Buy	\$258.71 ▼ 2.90%	12M Price Target \$305.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.79T
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AMZN: FTC Lawsuit Spooks Market, But Overreaction Likely

WHAT HAPPENED

- AMZN dropped 2.9% on a double-whammy: the FTC is reportedly suing Amazon over deceptive ad practices (think "sponsored" listings that look like organic search results), AND Goldman put out a note flagging that AI capex — the money hyperscalers spend on data centers and GPUs — is going to shock people to the upside. That second one sounds bullish but it actually spooks investors because it means less free cash flow in the near term.
- The GuruFocus headline about a "4.75% yield repricing AI buildout" is the tell — when the 10-year Treasury pays you 4.75% risk-free, investors get pickier about paying up for companies plowing billions into AI with uncertain payback. That's the real macro overhang here, not just the FTC.

WHY IT MATTERS

The FTC lawsuit is noise, not signal — Amazon has been in the FTC's crosshairs for years (the big antitrust case is still grinding through courts) and ad practices suits typically settle for fines that are rounding errors on a \$2.8T company. What matters more is the AI capex debate: if Amazon is about to guide capex up meaningfully (Oracle just showed what happens when the bill arrives before the revenue — their stock got punished), AMZN could see near-term pressure even though long-term this cements their cloud moat. The Bezos "OTHER" transactions are almost certainly pre-planned gifting/trust transfers, not signal — but the Zapolsky \$2.4M sale at \$259 is worth noting because it's near the recent highs. Bottom line: this dip is a gift if you believe AWS keeps compounding at 17%+ and ads keep growing 20%+, which the FTC can't really stop.

POLICY & POLITICAL WATCH

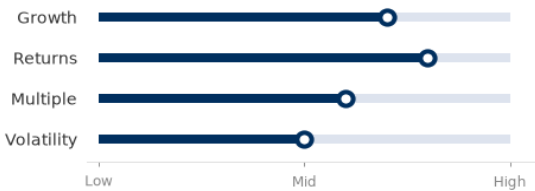
The big regulatory story is the FTC under its current leadership continuing to pursue Big Tech aggressively — the antitrust case targeting Amazon's marketplace practices is still active and now they're piling on with ad-related claims. On the tailwind side, watch for any movement on the AI infrastructure permitting reform bill in the Senate, which would fast-track data center construction — AMZN is arguably the biggest beneficiary since AWS needs gigawatts of new capacity. Also keep an eye on tariff policy: Amazon's third-party sellers are heavily exposed to China sourcing, so any escalation in trade rhetoric hits their marketplace take-rate directly.

IS IT EXPENSIVE?

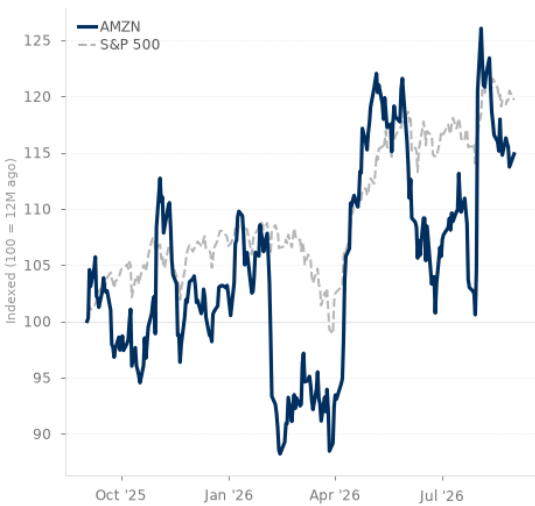
Key Data

Price (USD)	\$258.71
12M Price Target	\$305.00
Upside / (Downside)	+17.9%
Market Cap	\$2.79T
FY2026E Revenue	\$743M
FY2027E Revenue	\$825M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	37.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$265.00	\$245.00
6 Months	\$310.00	\$285.00	\$235.00
1 Year	\$340.00	\$305.00	\$225.00
2 Years	\$400.00	\$345.00	\$210.00
5 Years	\$550.00	\$425.00	\$190.00
10 Years	\$850.00	\$600.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.05%) is ripping — likely oil price move or geopolitical premium. Technology still leads on the 5-day (+3.22%) as AI enthusiasm holds up despite today's wobble.

COOLING OFF: Consumer Staples (-2.78% on the week) and Healthcare (-2.37%) — classic defensive rotation OUT, which is actually risk-on behavior even though today feels ugly.

ROTATION WATCH: Money is staying in tech/AI but getting more selective — the winners keep winning (Nvidia, hyperscalers) while anything with a capex question mark (Oracle, and today Amazon) gets punished. That's a stock-picker's tape, not a broad sell-off.

RELATED PLAY: If you believe the AI capex story, the picks-and-shovels names — data center REITs like EQIX and DLR, and power infrastructure plays like VRT — capture the same trend without the FTC/consumer risk that Amazon carries.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Holding up better than AMZN — no FTC ad overhang, and Azure is grabbing enterprise AI mindshare
- META (Meta Platforms): Ad business is firing, and they've convinced the market that their AI capex has a clear ROI path

AMZN CONTEXT: Amazon is lagging its mega-cap peers today specifically because of the FTC headline — this is idiosyncratic weakness, not sector rot. Historically, FTC-driven selloffs in AMZN have been buying opportunities within 30-60 days once the market realizes the actual financial impact is small.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$250-255 on FTC-driven weakness

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth slows below 15% or FTC forces structural ad business changes

Hedging: Buy Sep \$250 puts or pair with short GOOGL to isolate Amazon-specific risk